



BUSINESS PLAN

For

ā hub

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As-Is Study

ā hub (Andhra University Incubation Council) is a Section 8 company, located in the North campus of Andhra University, Visakhapatnam. The incubation center is successfully operating with its core values – Aspire, Associate and Achieve, and runs with a goal of becoming India's largest integrated multi-disciplinary Incubation center spanning over 2.0 Lakh sq. ft by fostering vibrant and sustainable environment for entrepreneurship.

ā hub services are specifically designed to assist aspiring entrepreneurs in overcoming common challenges associated with running a startup by providing a comprehensive range of resources, including workspace, mentoring, funding support, to facilitate the growth and success of their businesses.

VISION

Andhra University Incubation Council (ā hub) shall provide an environment to translate knowledge and innovation into creation of successful entrepreneurs that shall help in contributing to local economy and employment generation.

MISSION 2025

Andhra University Incubation Council (ā hub) shall be India's largest Integrated Multi-Disciplinary University Incubation Ecosystem – Tech, Pharma, Bio, Genomics, Food, Marine, Energy, Environment, Women led, Rural, Social Impact, Entertainment...

Progress

With a sprawling infrastructure spanning 1 Lakh sq. ft, ā hub has successfully established a solid foundation to nurture innovation and entrepreneurship. Currently, 42,000 sq. ft of state-of-the-art infrastructure is operational, providing an ideal environment for aspiring entrepreneurs.

Since its inception, the center has facilitated the incubation of 109 promising startups, providing them with the necessary support and resource to thrive. 8 startups from the program have graduated, symbolizing their successful transition into the market as self-sustaining entities. The incubation hub has also secured funding for 7 of them, resulting in a total of 62.7 crores in startup funding. Moreover, the hub's commitment to fostering entrepreneurship is further exemplified by the provision of 15.05 crores in incubation grants, which have been instrumental in supporting the development and growth of these startups.

Impact

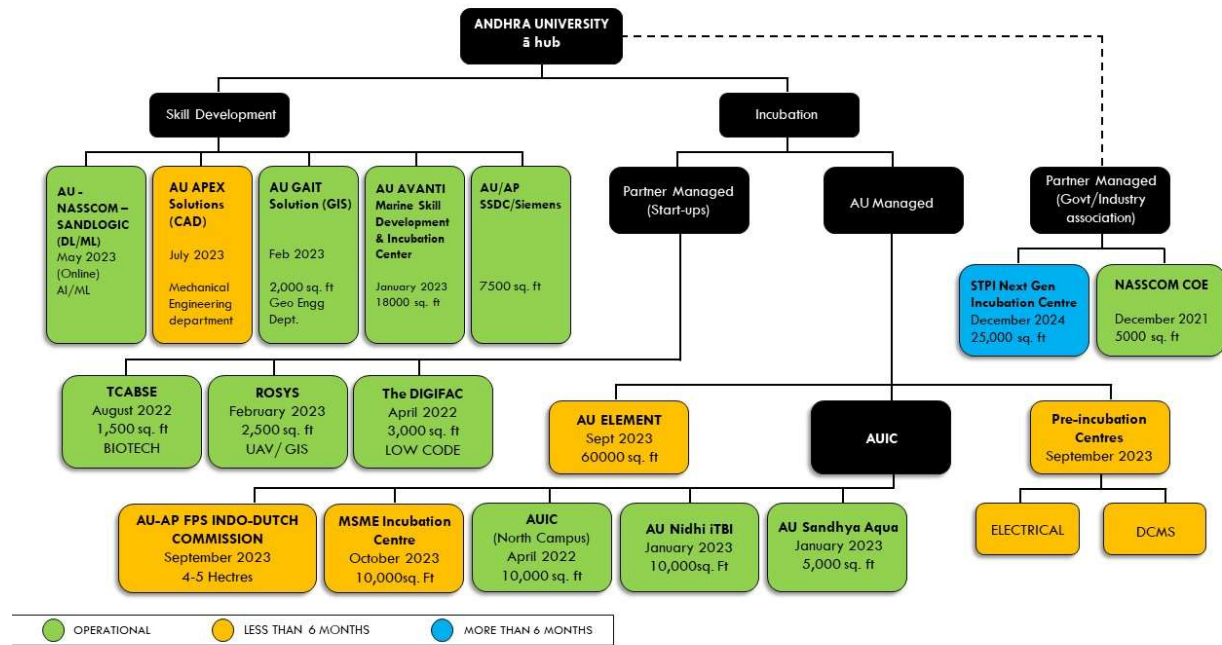
ā hub has been truly transformative when it comes to impacting the entrepreneurial ecosystem and beyond. It has facilitated the creation of 579 direct employments, providing numerous individuals with the opportunity to gain meaningful employment and contribute to the growth of the startup ecosystem. It has also offered 211 student internships, allowing aspiring students to gain hands-on experience and valuable insights into the world of startups.

The center has also dedicated 2496 mentor hours to guide and support the incubated startups. ā hub understands the importance of continuous learnings and skills development for entrepreneurs. To that end, they have provided 288 training hours to help startups navigate the challenges of the business landscape successfully.

Collaboration lies at the heart of the incubation center, as evidenced by the establishment of 14 strategic partnerships. These partnerships have opened doors to new opportunities, expanded networks, and

facilitated the exchange of resources, enabling their startups to thrive in a dynamic and competitive environment.

Progress Chart



Problem

The immediate problem for ā hub is the need for infrastructure to accommodate the excess startups and help them venture into their startup, which implies a funding problem. Secondly, the other problem is managing the data for all the startups to collect, collate, and report to the required agency for ranking or benchmarking purposes. Thirdly, how can they manage their resources in the most efficient ways? Fourthly, the services and their improvement for catering to the startups coming from various industry sectors, and fifthly, creating a mentoring model wherein the alums can help the startups with their experience in the industry through tacit or explicit knowledge transfer.

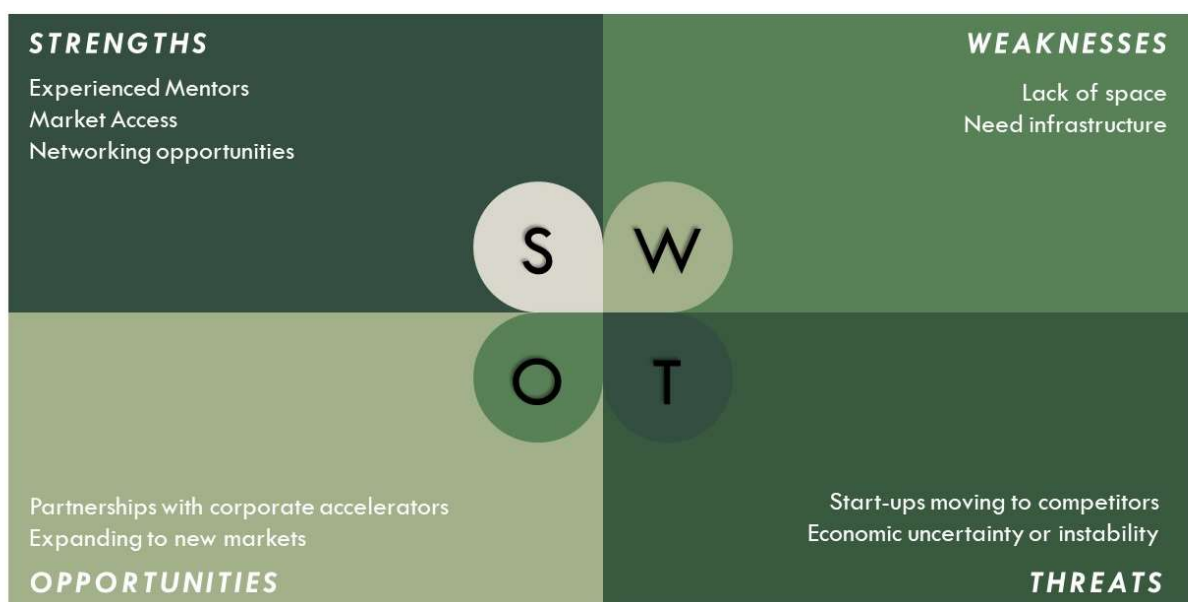
1. Infrastructure:
 - The lack of infrastructure to accommodate excess startups is an immediate problem for the hub.
2. Funding
 - Finding funds to sustain the business, expand the range of services, and cater to all the startups.
3. Resource management:
 - ā hub needs to manage its resources most efficiently.
4. Services and improvement:
 - It needs to cater to startups from various industry sectors.
 - The services provided also need to be improved.
5. Mentoring:
 - It needs to create a mentoring model for startups.

- The model would involve alums using their experience in the industry to help startups through tacit or explicit knowledge transfer.

Along with these goals, for ā hub to gain more visibility in the future some of the problems/ long term goals that need to be achieved are:

1. **Establish a Makers Lab:** Create a dedicated space with advanced equipment to support prototyping and product development, attracting entrepreneurs who require such resources.
2. **Host Major Events:** Organizing high-profile startup showcases, demo days, and pitch competitions can attract a wide audience of investors, industry experts, and potential customers. These events generate visibility, exposure, and funding opportunities for startups, thereby enhancing the overall reputation of the hub.
3. **Engage in Community Outreach:** Actively participating in local events, conferences, and meetups helps raise awareness about the hub and its offerings. By contributing to the local startup ecosystem, the hub builds a strong reputation and attracts promising startups and talented individuals.
4. **Create an Online Presence:** Developing a comprehensive online presence through a well-designed website, active social media accounts, and a regularly updated blog establishes the hub as a thought leader in the startup community. This attracts entrepreneurs seeking support and enhances visibility through online platforms.
5. **Offer Specialized Programs:** Launch industry-specific programs within the hub to cater to startups' needs in various sectors and attract focused startups and investors.
6. **Provide Mentorship Opportunities:** Recruit experienced mentors, establish a structured mentorship program, and organize events for knowledge transfer and relationship building.

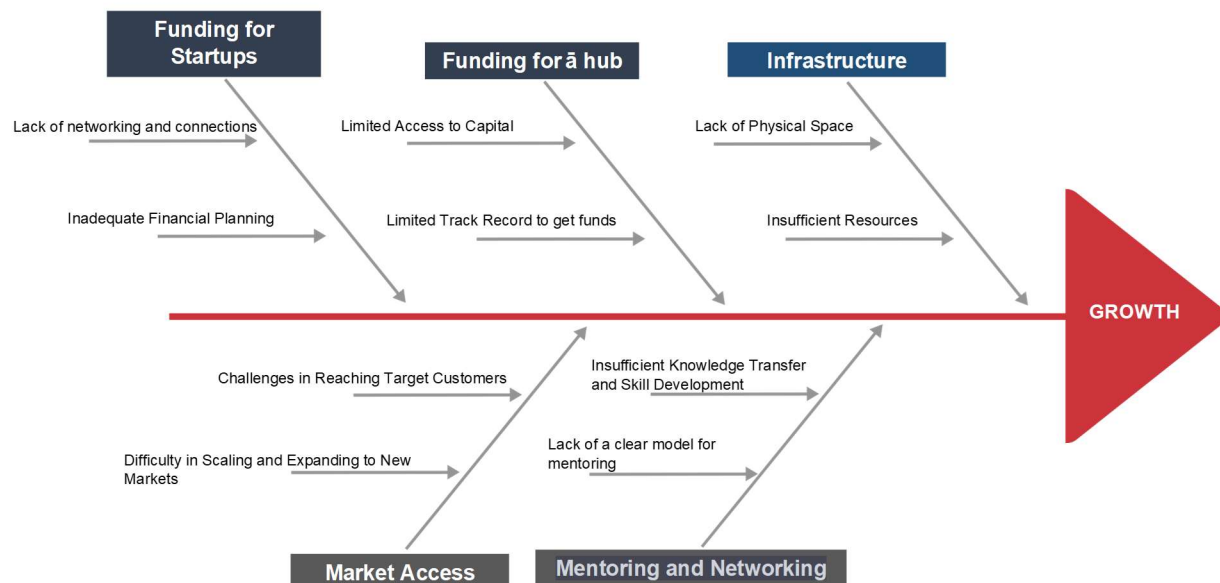
SWOT Analysis



Business Model Canvas



Fishbone Analysis



Funding

The possible funding sources for ā hub are industry loans, bank loans, corporate CSR, government funding/loans, and more. Some of them which are feasible for ā hub are:

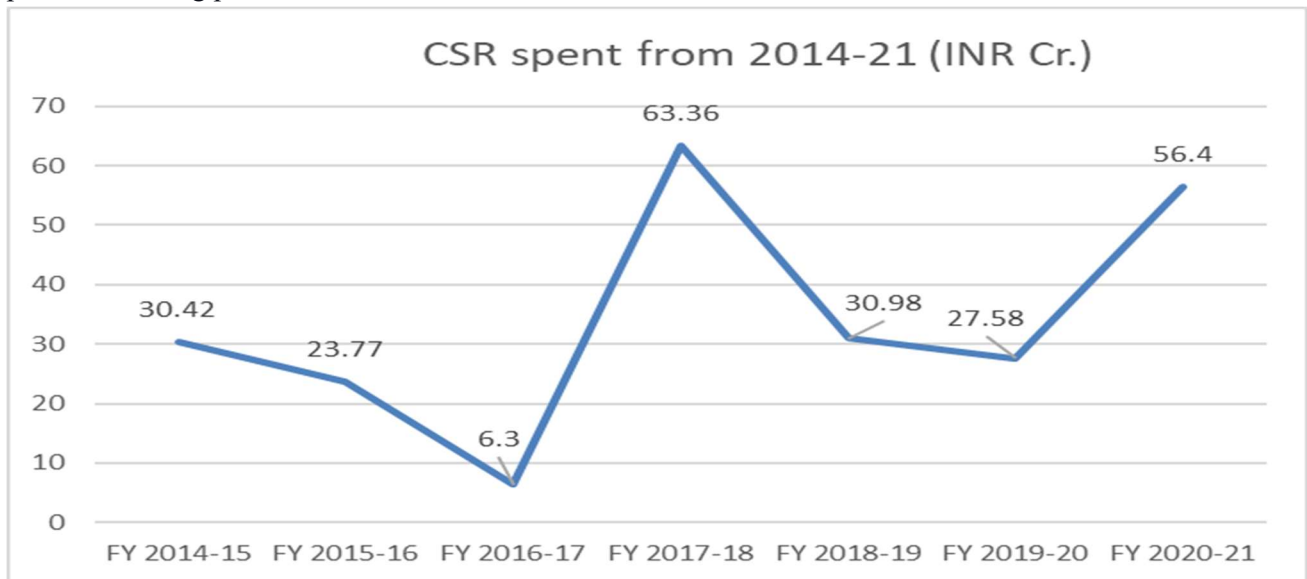
1. Government funding/grants
2. Corporate Social Responsibility (CSR)

3. Private Investors
4. Donations
5. Accelerator Programs
6. Corporate tie-ups

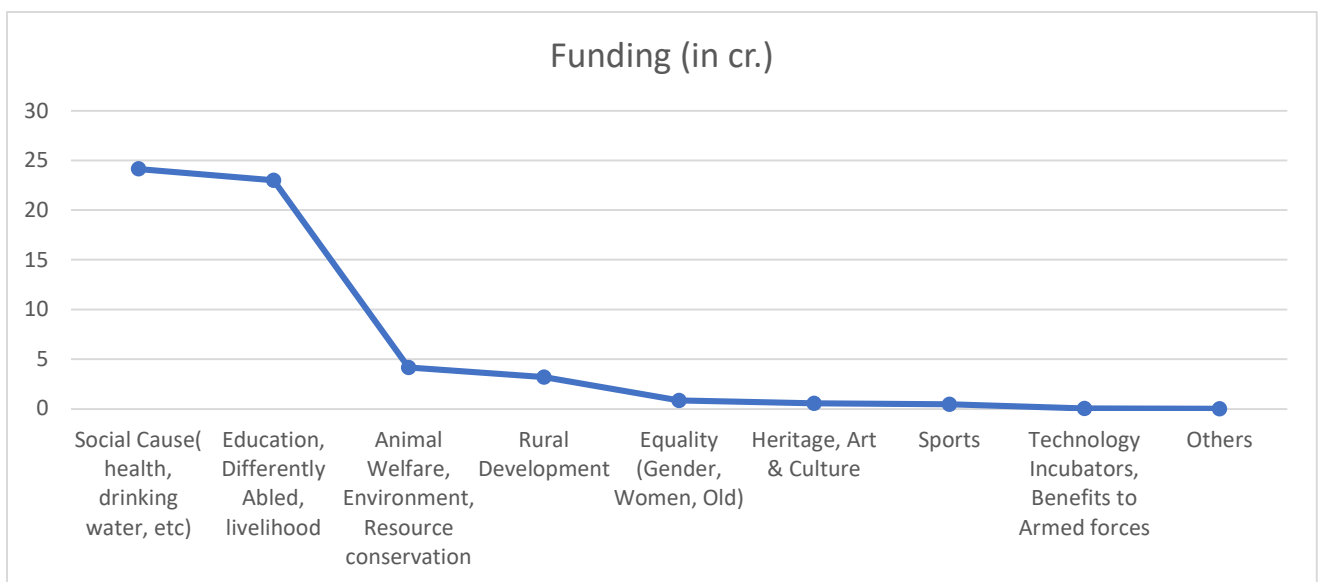
Below attached is the list of all the CSR done by corporations from 2014-2021:

[Philanthropy.xlsx](#)

The primary source of funding can be government grants and CSR from corporates. The list of all the corporate financing done in terms of CSR can help determine which company to target based on their previous funding pattern.



CSR Spent in Visakhapatnam from "FY 2014-21" (INR Cr.)



CSR Spent in Visakhapatnam as on "FY 2020-21" (INR Cr.)

Another effective way is through tying up with corporates. The incentive they get through this collaboration is direct access to technology used by startups, the innovation to stay relevant and build competitive advantage, and the option of directly funding certain startups or outright buying the startup.

Private Investors are another option to get funding, but they are not a long-term or reliable funding source or static compared to the abovementioned options.

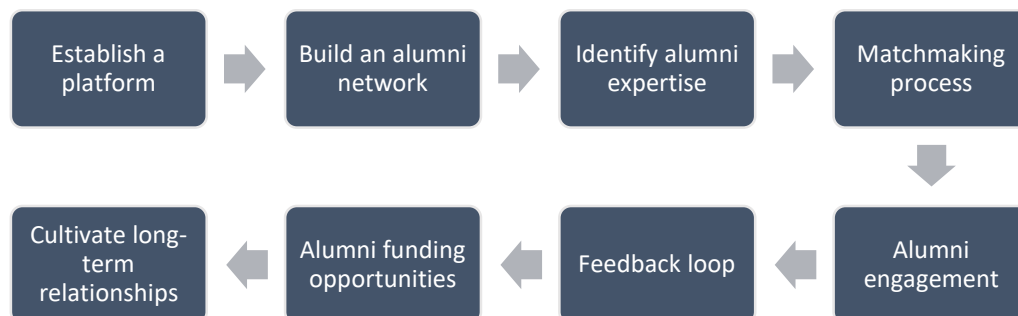
Bank loans are a no-go as they charge an interest rate that is not feasible for a Section 8 company; in case of that, other sources of loans, such as from governments, can be used to get funding, and they can make the repayment interest-free.

Some other ways are,

Corporate Tie-ups: a hub can form partnerships with corporations that align with their social objectives. These corporations can sponsor incubation programs and events or provide in-kind support like office space, mentorship, or technology support.

Social Impact Bonds: Social impact bonds are a form of innovative financing where investors provide upfront capital to a social organization to achieve measurable social outcomes. If the desired results are achieved, the investors get a financial return on their investment. a hub can explore issuing social impact bonds to raise funds.

Alumni Connect



1. **Establish a platform:** Create an online platform or a dedicated section on the university's website where startups can showcase their ideas, progress, and areas where they require assistance. This platform will also serve as a hub for alums to engage with startups.
2. **Build an alum network:** Develop one specific to the startup community. Reach out to alums who have expressed interest in supporting the university's entrepreneurial endeavors and invite them to join the network. Leverage existing alum associations and social media channels to connect with them.
3. **Identify alum expertise:** Survey the alum network to understand their areas of expertise, the industries they work in, and the type of assistance they are willing to provide. This will help create a database of alum mentors and advisors who can guide the startups.

4. **Matchmaking process:** Implement a matchmaking strategy that connects startups with relevant alums based on the startups' specific needs. This could involve an algorithm-driven system that matches the startups' requirements with the alums' expertise and availability.
5. **Alum engagement:** Design a non-monetary incentive plan to encourage alum engagement and participation. Instead of relying solely on financial incentives, focus on recognition, personal growth, and meaningful connections. Some possible incentives could include the following:
 - a. Recognition: Highlight the contributions of alum mentors/advisors through public acknowledgments, awards, or inclusion in success stories of the startups they assist.
 - b. Networking opportunities: Organize exclusive networking events, both online and offline, where alums can connect current students and other industry professionals.
 - c. Professional development: Offer access to professional development resources, such as workshops, webinars, or industry-specific training, which can help alums enhance their skills and stay updated.
 - d. Alumni-exclusive benefits: Provide special privileges or discounts on university resources, facilities, or events to incentivize alum engagement.
6. **Feedback loop:** Establish a feedback mechanism to monitor and improve the effectiveness of the alums connect model. Regularly collect feedback from startups and alums to identify areas of improvement and ensure the program meets their needs.
7. **Alum funding opportunities:** Develop a framework that allows successful collaborations between alums and startups to evolve into financial partnerships. This could include creating a dedicated alumni-led investment fund for startups or facilitating direct investment opportunities for interested alums.
8. **Cultivate long-term relationships:** Encourage ongoing communication and collaboration between startups and alums even after initial support. This can be facilitated through alumni-organized events, mentorship programs, or alumni-led panel discussions.

Benchmarking Analysis of Startup Incubators in India

Findings:

The Startup Buddy: The Startup Buddy excels in mentorship and networking by providing access to a network of experienced entrepreneurs and mentors who can guide and support startups. The incubator offers a variety of mentorship programs and events that allow startups to connect with potential mentors and investors. They have reached this level through solid relationships with industry experts and entrepreneurs willing to share their knowledge. They have also fostered a vibrant community where startups can network, collaborate, and learn from each other. To reach a similar level, "a hub" can focus on building a robust mentorship network and organizing networking events to facilitate connections between startups, mentors, and investors.

T-Hub: T-Hub excels in providing infrastructure and technology support by offering startups access to state-of-the-art facilities and resources. The incubator has built strategic partnerships with technology companies and academic institutions to provide startups with cutting-edge technologies, tools, and

resources. They have also invested in creating a conducive physical environment that encourages collaboration and innovation. To reach a similar level, "a hub" can prioritize infrastructure development and establish partnerships with technology providers and academic institutions to offer startups access to advanced resources. Creating a collaborative workspace with modern amenities will also attract and support startups.

The Startup Village: The Startup Village excels in catering to early-stage entrepreneurship by providing startups with the resources and support they need to get their businesses off the ground. They have achieved this by offering comprehensive programs that cover all aspects of startup development, including mentorship, training, funding, and networking opportunities. They have also fostered a culture of innovation and entrepreneurship through various initiatives. To reach a similar level, "a hub" can focus on creating a comprehensive support system for early-stage startups, including providing mentorship, training programs, and access to funding opportunities. Encouraging a culture of innovation and entrepreneurship within the incubator can also contribute to the success of startups.

IITMIC: IITMIC excels in research commercialization by providing startups with access to the research and expertise of IIT Madras faculty and students. They have achieved this by establishing strong connections with the academic community and creating mechanisms for startups to collaborate with researchers and access cutting-edge research facilities. They have also developed specialized programs that support startups in transforming research-based ideas into commercial products and services. To reach a similar level, "a hub" can explore partnerships with universities or research institutions to facilitate collaboration between startups and academic researchers. Developing programs that bridge the gap between research and commercialization can also enhance the support provided to startups.

CIIE: CIIE excels in providing support to social impact and sustainability-based startups. They have achieved this by developing a network of experts, mentors, and investors passionate about driving social change. They offer specialized programs and resources that cater specifically to social impact startups, including access to funding and expertise in impact measurement. To reach a similar level, "a hub" can focus on building a network of experts and mentors with a strong interest in social impact. Developing programs and resources tailored to the needs of social impact startups and providing support in impact measurement and reporting can further enhance the services provided.

KIIT TBI (Kalinga Institute of Industrial Technology Technology Business Incubator): It excels in Industry Collaboration and Business Support by providing several resources and support to startups, including:

Access to industry mentors: KIIT TBI provides startups with access to a network of experienced entrepreneurs and professionals who can offer guidance and advice on a variety of topics, including business development, marketing, and finance.

Access to industry partners: KIIT TBI helps startups connect with potential customers, partners, and investors.

Business support services: KIIT TBI provides startups with a variety of business support services, such as legal assistance, accounting services, and marketing assistance.

Amity Innovation Incubator: It excels in Global Exposure and International Partnerships by providing several resources and support to startups, including:

Access to international mentors: Amity Innovation Incubator provides startups with access to a network of experienced entrepreneurs and professionals from around the world who can offer guidance and advice on a variety of topics, including business development, marketing, and finance.

Access to international partners: Amity Innovation Incubator helps startups connect with potential customers, partners, and investors from around the world.

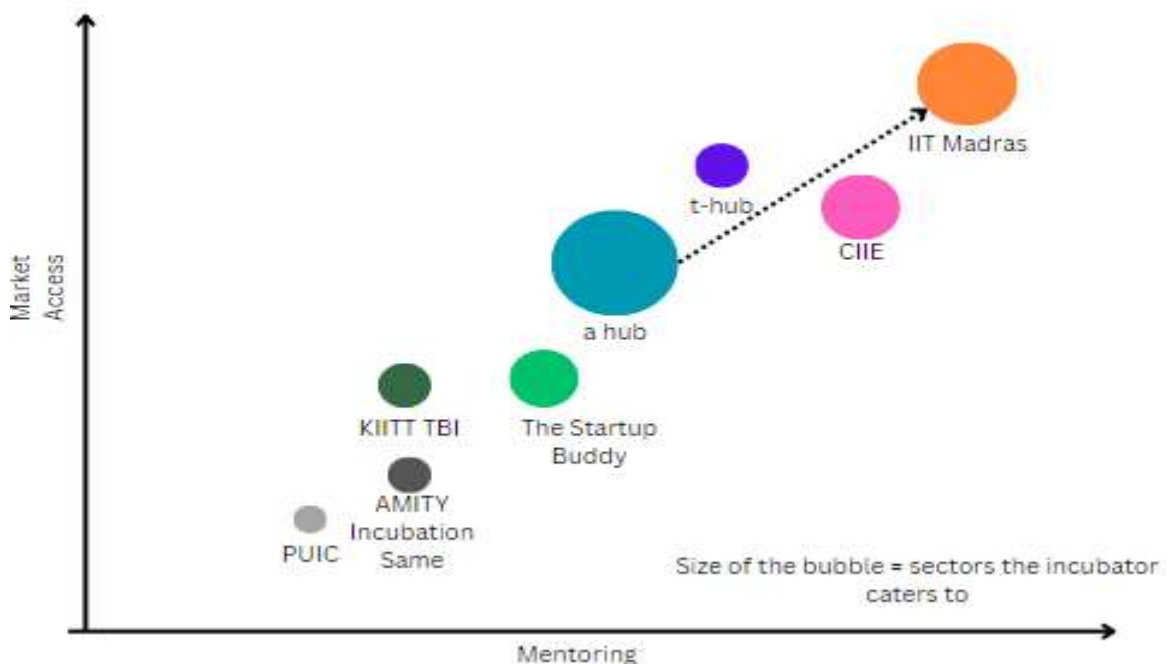
Global exposure opportunities: Amity Innovation Incubator provides startups with opportunities to participate in international events and competitions, which can help them to gain exposure and build relationships with potential customers, partners, and investors.

Punjab University Incubation Centre: It excels in Academic Integration and Research Collaboration by providing several resources and support to startups, including:

Access to academic resources: Punjab University Incubation Centre provides startups with access to a variety of academic resources, such as libraries, laboratories, and research facilities.

Access to academic mentors: Punjab University Incubation Centre provides startups with access to a network of experienced academics who can offer guidance and advice on a variety of topics, such as research, product development, and marketing.

Research collaboration opportunities: Punjab University Incubation Centre provides startups with opportunities to collaborate with academics on research projects. This can help startups to develop new products and services, and to gain access to funding.



Matrix for Startup Incubators in India

Conclusion:

In conclusion, the benchmarked incubators have reached a level in their respective areas by leveraging their unique strengths and adopting strategies that align with their focus areas. "A hub" can achieve a similar level by focusing on the following:

1. Establishing a **solid mentorship network** and **organizing networking events** to facilitate connections between startups, mentors, and investors, similar to The Startup Buddy.
2. Prioritizing **infrastructure development** and **forming partnerships with technology providers and academic institutions** to offer startups access to advanced resources, similar to T-Hub.
3. Creating a **comprehensive support system** for early-stage startups, including mentorship, training programs, and access to funding opportunities, similar to The Startup Village.
4. Exploring **partnerships with universities or research institutions** to facilitate collaboration between startups and academic researchers, similar to IITMIC.
5. **Building a network of experts and mentors** with a strong interest in social impact and developing specialized programs and resources for social impact startups, similar to CIIE.
6. By helping startups to **participate in international events, and forming partnerships with international incubators** will help them to gain Global Exposure and form International Partnerships like Amity Innovation Incubator.
7. By **providing mentorship and training from university faculty** and **helping startups to commercialize their research** can help them for Academic Integration and Research Collaboration like Panjab University Incubation Centre.

MBO Approach

The following Excel sheet can be used as a reference to track the progress of a hub.

[MBO Target Setting.xlsx](#)

KPIs	Jul-Sep 2023	Oct-Dec 2023	Jan-Mar 2024	Apr-Jun 2024	Jul-Sep 2024	Oct-Dec 2024	Jan-Mar 2025	Apr-Jun 2025	Jul-Sep 2025	Oct-Dec 2025	Jan-Mar 2026	Apr-Jun 2026
Incubation Space (sq ft)	1,06,000	1,76,000	1,76,000	1,76,000	1,76,000	2,01,000	2,01,000	2,01,000	2,01,000	2,01,000	2,01,000	2,01,000
Revenue per Month (lakhs)	13	14	15	16	16	17	18	20	23	26	28	30
Startups Incubated (AU managed)	78	82	86	92	96	100	110	130	150	175	185	200

Startups Incubated (partner managed)	50	55	60	62	65	66	70	80	90	95	100	100
Events (Repetitive)	13	13	14	14	15	15	16	16	16	17	17	18
Events (One-time)	1	1	1	2	1	1	1	2	1	1	2	2
Strategic Partners	16	18	19	21	20	22	23	25	26	27	28	30
Direct Employment	512	548	584	616	644	664	720	840	960	1,080	1,140	1,200
Internships Provided	128	137	146	154	161	166	180	210	240	270	285	300
Mentors	13	14	15	15	16	17	18	21	24	27	29	30
Ideas Evaluated per Month	10	14	15	18	19	20	22	23	25	27	28	30
Patents	2	3	4	6	7	8	9	9	10	13	13	15
Prototypes	2	2	3	4	5	5	6	7	7	8	8	9
Invested Startups	1	1	1	1	1	1	2	2	2	2	2	2

Financials

[Financials.xlsx](#)

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To-Be State

The team envisions a future state for the incubation center that encompasses a range of ambitious goals, reflecting the commitment to fostering innovation, supporting startups, and driving economic growth. With a strategic focus on creating a thriving entrepreneurial ecosystem, a hub aims to achieve the following milestones:

1. Incubation Space: a hub is set to expand its physical infrastructure, offering a total incubation space of 2 lakh sq. ft. This spacious and modern facility will provide an inspiring environment for entrepreneurs to collaborate, ideate, and transform their innovative ideas into successful ventures.
2. ā hub aspires to nurture and incubate 300 plus startups by 2025. By providing access to mentorship, resources, and networking opportunities.
3. Patents filed: a hub aims to facilitate the filling of 150 patents. By encouraging and protecting the novel ideas and technologies developed by the incubated startups, the center contributes to the

overall growth and competitiveness of the entrepreneurial ecosystem.

4. Student Internship: a hub recognizes the importance of bridging the gap between academia and industry, and thus, are committed to providing meaningful experiential learning opportunities for aspiring students. Through their internship program, they aim to engage 1500 students, allowing them to gain practical knowledge, skills, and exposure to the entrepreneurial world.
5. Direct Employment: Aiming to generate direct employment for 1000 individuals, helping to address unemployment challenges and stimulate economic development.
6. Export Growth: Leveraging the strong network, a hub envisions a steady growth in exports from their incubated startups. With a target of USD 60 million in export revenue year-on-year, they aim to contribute to the global marketplace and position their startups as leaders in their respective industries.